A significant side effect of the change in insurgency dynamics in the early 1990s was the proliferation of the drug economy in Myanmar and surrounding areas. Initially, the drug trade enhanced the BCP's status by helping to fund the movement during the 1980s. Later, as the problem of drug abuse plagued China, pressure was applied on the BCP to curtail drug production. This rift between China and the BCP eventually led to the demise of the movement. This change in China's policy coincided with an opening of significant cross border trade relations with SLORC.

Ultimately, the end of the ethnic insurgency problem exacerbated the overall drug situation. Drug lord Khun Sa surrendered to tatmadaw forces in 1996, easing border tension. Drug production increased significantly in the mid to late 1990s. New trafficking routes opened, as well as refiners. Between 1986 and 1996, production of opium in Myanmar doubled, impacting the availability in the United States, China, India, and Thailand. Myanmar currently accounts for 80 percent of all heroin produced in Southeast Asia. By the late 1990s, Myanmar also became a center of methamphetamine production. Overall drug use and addiction in Myanmar has increased dramatically during this period of military rule.

An additional social problem to plague Myanmar is HIV/AIDS. The increased use of drugs along with changing sexual habits and the lack of availability of condoms has compounded the crisis. The difficult task of getting reliable information from the regime makes the accuracy of data questionable. Using sources from the military, the number of infected citizens was 400,000 by the late 1990s. This makes Myanmar one of the hardest-hit countries in all of Asia. The crisis only worsens because of the regime's inability or indifference to the suffering of the population. The junta stays in denial and refuses any assistance from outside health agencies.

The proliferation of the sex trade has also played into the social demise of Myanmar. The only attempt to deal with the issue of sex trafficking was for the regime to issue general statements about morality and the evils of foreign influence of traditional culture. The dark reality is that an underground sex trade operation has been underway for the past 15 years.

ECONOMIC POLICY DURING THE SLORC/SPDC